WHITE PAPER · VERSION 5.0

Model Pricing Is Getting More Complex... Not Less

Every Notice Event We Track, June 2025 to October 2026

> Short-notice price changes and new billing terms add a layer of complexity to every AI bill. At the same time, vendors are trimming their legacy tails: more retirements, shorter notice and forced moves.

92
MEDIAN DAYS, RETIREMENTS (N = 39)

31.5
MEDIAN DAYS, INCREASES (N = 8)

27%
EVENTS WITH NO USABLE NOTICE (N = 70)

Jerry W. Lambert, Sr.

October 24, 2026 · jerrywlambert.com

Executive Summary

AI billing keeps getting more complicated. Short-notice price changes and new billing terms add work to every bill, and vendors are trimming their legacy tails on their own schedule.

31.5 d
INCREASE MEDIAN, N = 8, CI 3 TO 93

4 to 8
BILLING ELEMENT TYPES, JUNE TO OCTOBER

-91 d/yr
NOTICE TREND, ALL EVENTS, P = 0.0004

Price changes come on short clocks. Sixty percent of adverse price and billing changes took effect inside 30 days, against 10 percent of retirements. Price increases had a median of 31.5 days of notice (n = 8), and both dated price cuts took effect the day they were announced. Nineteen of 70 events, 27 percent, gave no usable notice. The vendor you buy from sets the clock, from about six months to a few days.

The bill has more dimensions. Billing element types doubled from four to eight between June and October 2026. Long-context bands, time-of-day bands, a per-request tool fee and a speed multiplier now sit beside input and output prices. The two new terms with a vendor date came with 3 and 14 days of notice.

Vendors are trimming the legacy tail. There were 53 retirements in 17 months, with a median of 92 days of notice (n = 39). Notice across all events fell by about 91 days per year (p = 0.0004). Forced migrations moved buyers to successors with a median per-token change of -59.5 percent (n = 8), on a date the vendor picks.

Buyers need proof and the freedom to move. Every charge should be recorded against the Tariff in force when the call ran, in a record nobody can rewrite. Buyers should be able to move work between vendors when the next notice arrives.

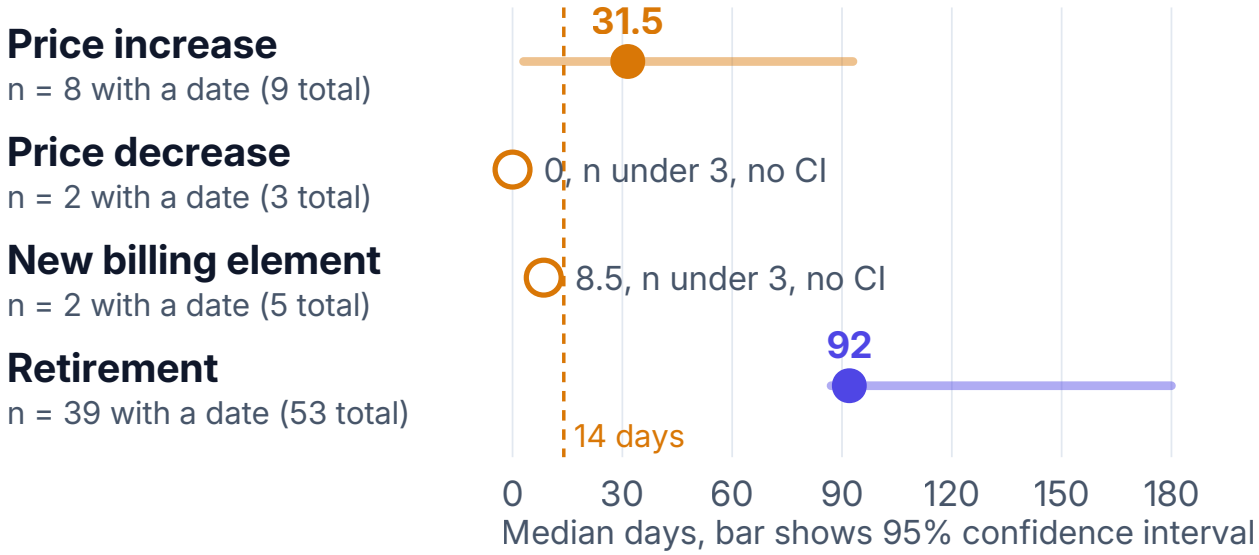
The analysis covers 70 notice events (53 retirements, 9 price increases, 3 price cuts and 5 new billing elements) and 113 model launches announced between June 2025 and October 2026. Events with missing dates stay in every count.

> **MY VIEW**
>
> Every short clock and every new billing term is one more thing a buyer has to catch. You can't budget around a change you only hear about after it hits the bill.

Retirements Get Months. Price Changes Get Days.

The type of change predicts the warning. A retirement comes with a calendar. A price change often comes as one line in a changelog.

DAYS OF NOTICE BY CHANGE TYPE



Notice is the effective date minus the announcement date, in calendar days. n counts events with both dates; the totals include events with a missing date. Medians use a percentile bootstrap with 10,000 resamples. No interval is shown where n is under 3.

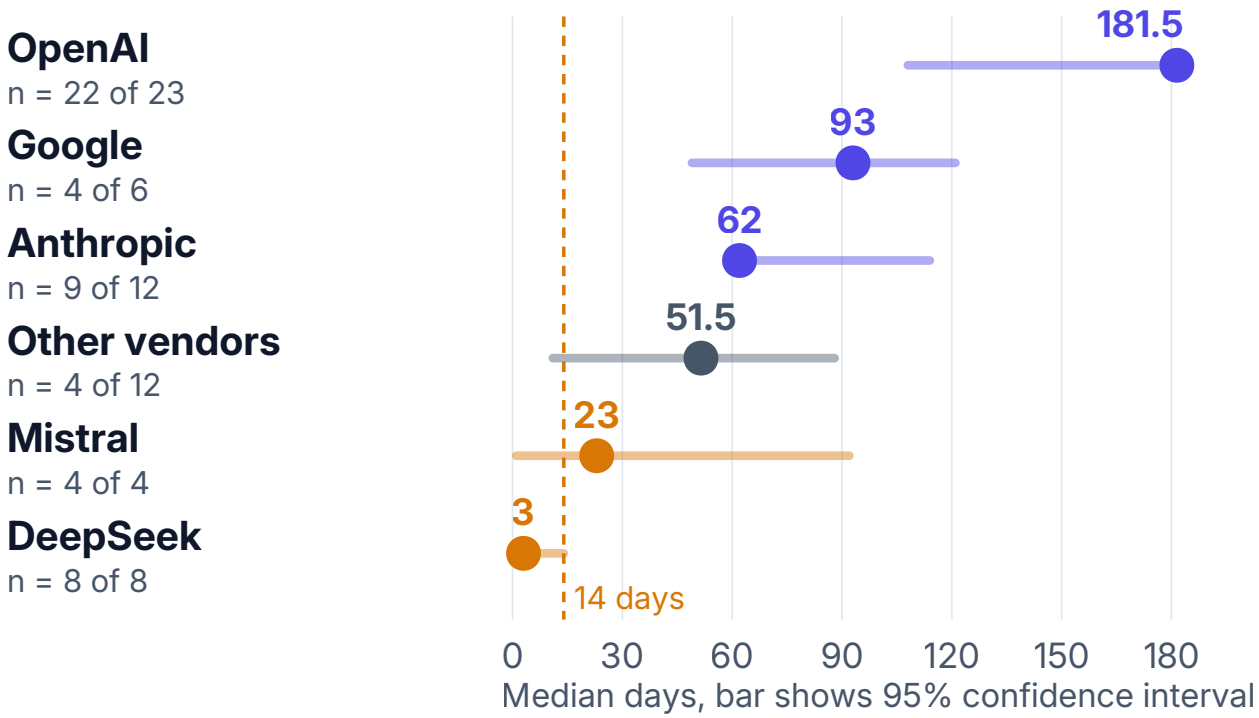
Retirements sit at a median of 92 days, and 7.7 percent of them land inside two weeks. Price increases sit at 31.5 days, and half of them land inside 14. The two dated price cuts both took effect the day they were announced. A cut costs nothing on the invoice, but any forecast built on last week's price is already wrong.

New billing elements come on the shortest clocks. Five appeared in the period. Two carry dates, at 3 and 14 days of notice. The other three have no effective date on record, so a buyer can't know when they started to apply.

Who You Buy From Sets Your Clock

Vendor policy explains most of the spread. The large vendors publish notice floors and mostly keep them. The smaller ones run on days.

MEDIAN DAYS OF NOTICE BY VENDOR



All change types combined. n is events with a usable notice figure out of each vendor's total. Vendors with fewer than four events are grouped as Other vendors (eight vendors, 12 events, 8 of them with no usable date). Moonshot's five events all lack a usable date, so it has no median and is not plotted.

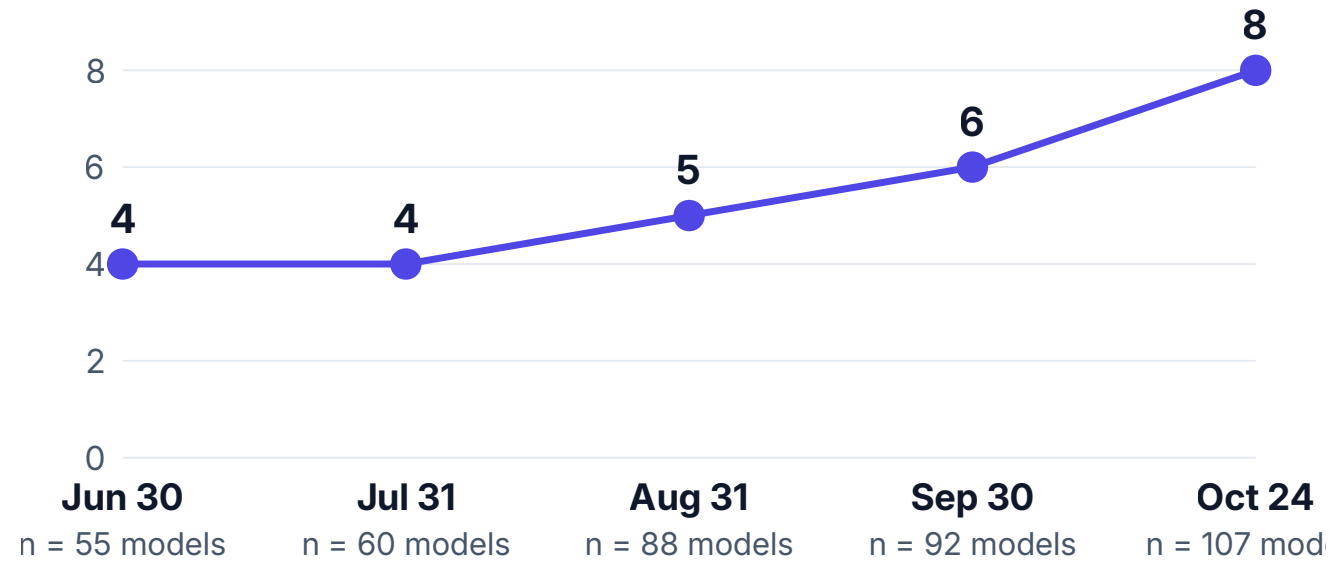
OpenAI gives the longest runway, a median of 181.5 days across 22 dated events, almost all retirements. Two of those 22 fell below its own stated 90-day floor for specialized variants, at 20 and 87 days. Anthropic clusters at its stated 60-day floor and never went below it. Google's four price increases came with 49 to 121 days.

DeepSeek's median is 3 days across 8 events, and 88 percent landed inside two weeks. Mistral sits at 23 days, with half its events under 14. A buyer using several vendors runs on several clocks at once.

The Bill Is Getting More Dimensions

Each new billing term is another way a charge can differ from the price a buyer expects.

DISTINCT BILLING ELEMENT TYPES IN FORCE



A count of every billing element type in force across all models on each date, so no interval applies. n is the number of models in force.

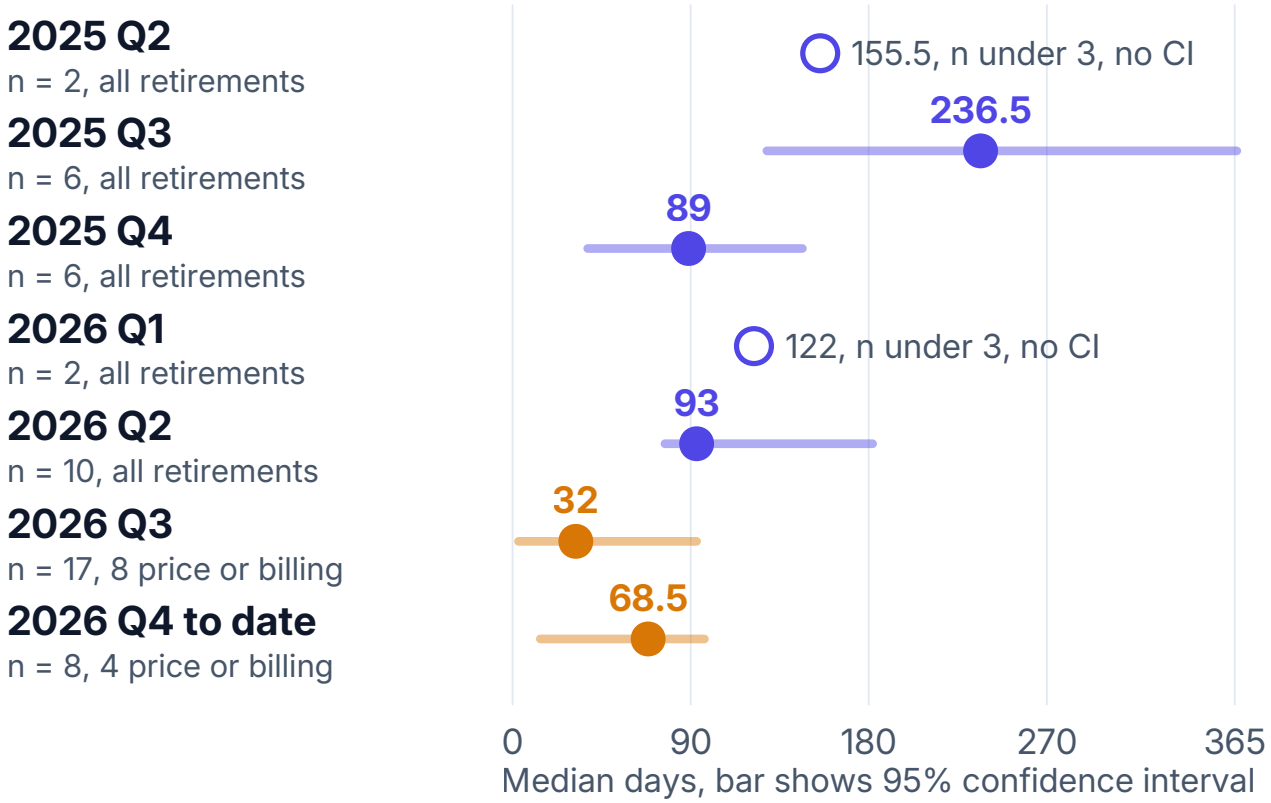
In June, every model billed on four elements: input, output, cache reads and cache writes. By late October there were eight. Long-context price bands now cover 22 models, and time-of-day bands cover 3. A per-request tool fee and a speed multiplier joined in October. Time-of-day pricing came with 3 days of notice, and the per-request tool fee came with 14. Three more billing terms have no announcement or effective date on record.

A long-context band changes the price of a request based on its length. A time-of-day band changes it based on the clock. Neither shows up in a headline per-token price.

Notice Is Getting Shorter

Across the full set, the runway between announcement and effective date is shrinking.

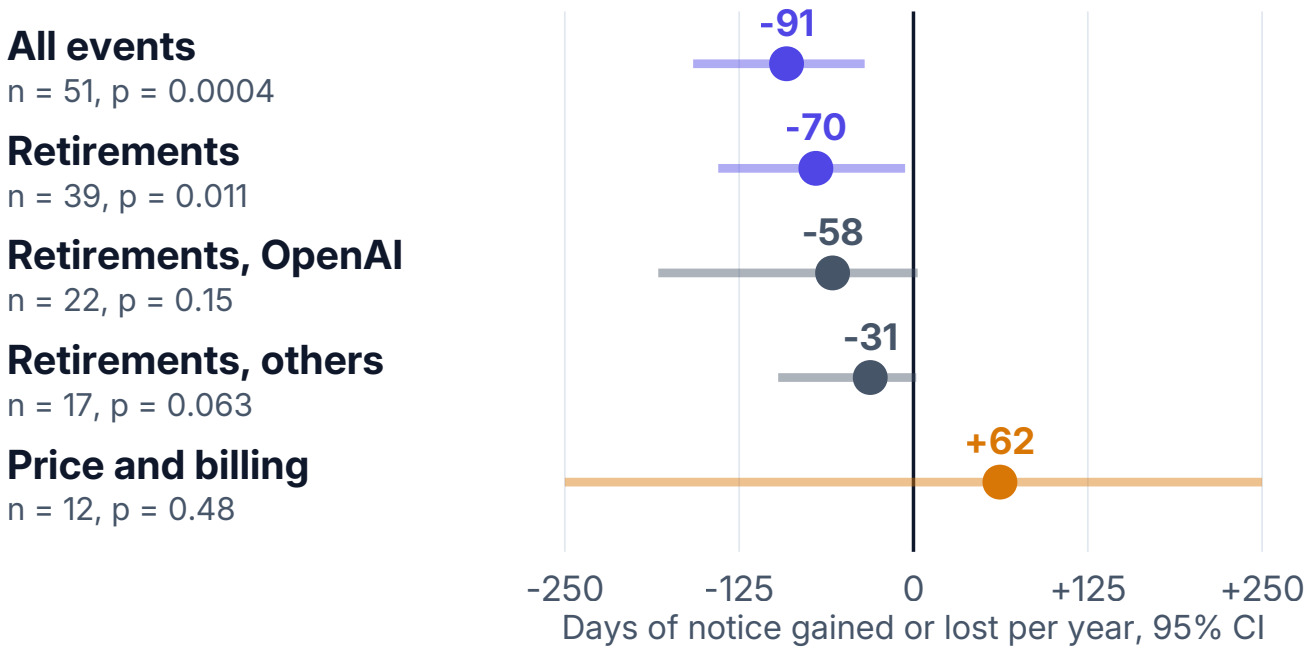
MEDIAN DAYS OF NOTICE BY ANNOUNCEMENT QUARTER



Medians with 95% bootstrap intervals. Quarters with fewer than three events show the median only. Orange marks quarters that include price and billing events.

Across all 51 events with a usable figure, notice falls as the announcement date moves forward (Kendall tau -0.35, p = 0.0004). The Theil-Sen slope is a loss of about 91 days of notice per year. The decline holds inside each vendor too. A model with vendor fixed effects gives -85 days per year (p = 0.0002).

HOW FAST NOTICE IS FALLING, BY SUBSET



Theil-Sen slopes. Mann-Kendall p-values on the left. The price and billing interval runs from -365 to +542 and is clipped at the chart edge.

Retirement notice alone fell by about 70 days per year ($p = 0.011$). The mix also shifted toward short clocks. In the second half of 2026, 12 of 25 notice events were price and billing changes.

Vendors Are Trimming the Legacy Tail

Fifty-three retirements in 17 months. Older models are leaving the catalog, and buyers move on the vendor's schedule.

PRICE OF THE SUCCESSOR MODEL VS THE RETIRED ONE



lended price change, successor vs retired model, n = 8. Shaded band: 95% CI of the media

Blended at 3 parts input to 1 part output, list prices per million tokens. Of 53 retirements, 8 name a successor with a published price. Bootstrap 95% CI of the median: -74.0% to 0.0%.

Of the eight forced migrations with a priced successor, six got cheaper per token, one stayed flat and one got dearer. The median change is -59.5 percent. One vendor retired a fast tier into a general model, and the per-token price rose 468 percent. Another successor's 55.6 percent cut is a launch price. After its scheduled step in January 2027 the saving shrinks to 11.1 percent.

The cost of a forced migration is the move itself: testing a new model, rewriting prompts and checking outputs, on a date the vendor picks. Of the 53 retirements, 45 name no successor with a published price, which leaves the buyer to find one.

> **MY VIEW**
>
> Cheaper per token is not the same as cheaper. The bill falls only if the work moves on time and the new model does the job. When I only get two months, or two weeks, the price cut is the smallest part of the cost.

What This Means for Anyone Buying AI

Short clocks, missing dates and new billing terms all land on the same invoice.

A Charge Record Nobody Can Rewrite

Every charge should carry the model, the units, the price applied and the date of the Tariff it came from. That record should be immutable, so nobody can edit it after the fact, and it should come with an attestation, a signed statement that it is complete and unchanged. With that in hand, a finance team can check any invoice line against the Tariff in force when the call ran, including the long-context and time-of-day bands a headline price hides.

Eight billing element types, changes that land in 0 to 14 days and 12 events with no effective date make a strong case for proof over trust.

> **MY VIEW**
>
> I don't want to take the vendor's word for my bill, and I don't want to take my own spreadsheet's word either. I want every charge written once, signed and checkable.

The Freedom to Move Work

Vendors are retiring models on their own schedule. A buyer who can route work to another vendor without rewiring an application can take a cheaper successor, sidestep a short clock and test a replacement before the deadline. A buyer wired to one vendor takes whatever the next notice brings.

For how many different ways AI gets billed today, see The 28 Ways AI Models Charge.

> **MY VIEW**
>
> It is a mistake for a consumer to lock themselves into one vendor.

Methodology. Figures come from vendors' public announcements made between June 10, 2025 and October 24, 2026: the full population of 70 notice events and 113 model launches we track, with no event left out.

JERRYWLAMBERT.COM

Get the Next Analysis First

I publish what AI models cost, how vendors bill and what changed overnight. Subscribe to get it in your inbox.

Subscribe

https://jerrywlambert.com/newsletter/

Jerry W. Lambert, Sr.
jerrywlambert.com · Articles · Briefings · Writing · LinkedIn
© 2026 Jerry W. Lambert Sr.